Document ID: VIB-LEG-PLA-016 Classification: INTERNAL CONFIDENTIAL (Strictly No External Distribution) Effective Date: 2024-04-01 Version: 7.2

Document Owner: Head of Enterprise Legal

Legal Clause Response Playbook: VI Business (India)

1. Executive Purpose and Document Scope

The Legal Clause Response Playbook is the definitive internal guide for Bid Writers, Contract Managers, and Enterprise Legal Counsel when negotiating complex Master Services Agreements (MSAs) and responding to commercial Request for Proposals (RFPs).

It empowers commercial teams to swiftly counter aggressive, one-sided customer contract drafts using pre-approved boilerplate language, thus accelerating the "Time to Contract" lifecycle while strictly defending VI Business (India)'s margins and corporate risk appetite.

2. Definitions, Assumptions, and Applicability

Definitions:

- **BoM:** Bill of Materials.
- **TCV:** Total Contract Value.
- **LoL:** Limitation of Liability.
- **Indemnity:** Obligation to compensate for a specific loss.

Assumptions:

- This document applies exclusively to Enterprise B2B agreements under Indian jurisdiction.
- Pre-approved Fallback Language can be deployed by Contract Managers without requiring C-Suite approval.

Applicability:

- **Target Audience:** Enterprise Legal Counsel, Bid Managers, Deal Desk Analysts.
- **Scope:** Managed Network Services, SIP Trunking, Colocation, and IoT MSAs.

3. Playbook: Common Customer Clause Categories

3.1 Limitation of Liability (LoL)

- **Customer Request:** Demands an uncapped liability or a cap set at a multi-million-dollar flat rate regardless of the contract size.
- **Preferred Response Language:** "VI Business's total aggregate liability arising out of or in connection with this Agreement shall not exceed 100% of the total fees paid by the Customer for the specific Service giving rise to the claim during the twelve (12) months immediately preceding the event."
- **Fallback Language (If Customer Pushes Back):** "VI Business's total aggregate liability… shall not exceed 100% of the Total Contract Value (TCV) of the underlying Service Order."

- **Negotiation Notes:** Never accept uncapped liability except for statutory carve-outs (e.g., bodily injury, gross negligence, willful misconduct).
- **Risk Flag:** If the customer mandates a liability cap exceeding 100% TCV, the deal must immediately escalate to the Enterprise CFO (Deal Desk) for margin-to-risk analysis.

3.2 Service Level Agreement (SLA) Penalties

- **Customer Request:** SLA penalties payable in cash, or penalties representing 100% of the Monthly Recurring Charge (MRC) for minor outages.
- **Preferred Response Language:** "Failure to meet the Service Levels shall entitle the Customer to Service Credits as explicitly defined in the SLA Annexure. The issuance of Service Credits shall be the Customer's sole and exclusive remedy for any performance failure."
- **Fallback Language:** "Service Credits shall be capped at a maximum of 30% of the MRC for the affected link/site in the billing month the failure occurred."
- **Negotiation Notes:** We never pay SLA penalties in actual cash or check; they are exclusively applied as credits against the subsequent month's invoice.

3.3 Termination for Convenience

- **Customer Request:** The right to cancel the 36-month or 60-month contract at any time without penalty by giving 30 days' notice.
- **Preferred Response Language:** "Either party may terminate this Agreement for convenience subject to a minimum ninety (90) days prior written notice, provided that Customer shall be liable to pay VI Business the agreed Early Termination Charges (ETC) equal to 100% of the unamortized CapEx and 50% of the remaining MRC for the unexpired term."
- **Fallback Language:** N/A - Straight rejection.
- **Negotiation Notes:** Because VI Business absorbs the heavy initial hardware CapEx in managed services contracts (e.g., routers, firewalls), penalty-free termination destroys deal profitability.

3.4 Data Privacy and Residency (DPDP Act)

- **Customer Request:** Right to audit VI Business Tier-III data centers on demand with 24 hours' notice.
- **Preferred Response Language:** "Customer may conduct a paper-based audit of VI Business's ISO 27001 and SOC 2 compliance reports. Physical on-site audits require a minimum thirty (30) days prior written notice, are limited to once per calendar year, and must be strictly escorted to prevent observation of other multi-tenant environments."
- **Risk Flag:** Any clause demanding that VI Business acts as a "Data Fiduciary" for the unencrypted *Customer Payload* transiting the network must be utterly rejected. VI Business acts solely as a "Data Processor" routing the traffic.

4. Approval Rules and Escalation Matrix

When a customer's redline breaches the "Fallback Language," formal deviation approval is required.

Deviation Category	**Approval Authority**	**Typical Turnaround Time**
Jurisdiction / Governing Law (Moving from Mumbai to another state)	Head of Enterprise Legal	48 Hours
Adjusting LoL > 100% TCV	Enterprise CFO (Deal Desk)	72 Hours
Waiving Early Termination Charges	Chief Enterprise Business Officer (CEBO)	> 1 Week

5. Constraints, Exclusions, and Dependency Notes

- **Global MSA Conflicts:** If an Indian subsidiary of a multinational corporation attempts to enforce a Global Master Services Agreement (GMSA) signed with Vodafone Group Plc (UK), local Indian Deal Desk must conduct a bridging review to ensure compliance with Indian Department of Telecommunications (DoT) licensing rules.

6. Proposal-Use Guidance

- **RFP Matrix:** When filling out RFP Legal matrices, copy the "Preferred Response Language" directly into the "Vendor Comments" column against each customer clause. Do not offer the "Fallback Language" internally until the second round of contract redlining.

7. Governance and Ownership

- **Owner:** Head of Enterprise Legal
- **Reviewers:** Deal Desk, Corporate Risk.
- **Update Cadence:** Bi-annual review, specifically updated whenever the Supreme Court of India or DoT issues new telecom-relevant corporate precedence.